The emergence and evolution of the mixed economy was thus able to settle the long-standing debate as to what was the best way to organise an economy. Starting in 1776 with the *Wealth of Nations* of Adam Smith, it continued till we had the World Development Report of 1999 by the WB[4]. The dilemma continued for almost two and a quarter centuries (1776–2000). Today, once the World Trade Organisation (WTO) has taken over the world economy, the brand of the mixed economy it advocates, is more inclined towards the free market economy. But it does not propagate to make the state an economic non-entity i.e., it leaves scope, for greater state intervention in the required areas if need be.

ROLE OF STATE IN AN ECONOMY

The dilemma of searching the ideal way of organising an economy, as it evolved, was also going to solve another riddle. This riddle was the role of the state in an economy.[5] If we look back into the economic history of the world, we see *three* possible roles for the State/Government in the economy:

(i) As a **regulator** of the economic system (where the state takes important economic decisions, announces the required kind of economic policies, takes the sole responsibility to get them implemented and controlling and punishing those who don't oblige to those economic decisions).

(ii) As a producer and/or supplier of the **'private goods and services'** (these include all those goods and services which constitute the part of market and which will be distributed among the needy according to the principles of the market mechanism. Here the state earns profit as a private enterprise).

(iii) As a producer and/or supplier of the **'public goods'** or the **'social goods'** (these include the goods and services which look essential from the social justice and well-being perspective for the people. Education, healthcare, sanitation, drinking water, nutrition, caring for the handicapped and old etc. come under this category. These goods which are generally distributed free of cost at times might